

TRADING BEGINNER BLUEPRINT

YOUR STEP-BY-STEP ROADMAP TO UNDERSTANDING, PLANNING & PRACTICING TRADING

Learn the Basics • Read Charts • Manage Risk • Build a Trading Plan

Learn first. Practice second. Risk later.

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Before You Start

Trading is not a shortcut to guaranteed income.

The purpose of this book is to help beginners understand the basic concepts of stock-market trading and develop a structured approach to learning.

You may make profits, but you can also lose money. No strategy can guarantee a fixed monthly income.

Before Using Real Money

- Understand the basics.
- Practice with historical charts.
- Use paper trading.
- Learn risk management.
- Start small if you eventually decide to trade.

Never trade with money you cannot afford to lose.

The Golden Rule

Your first goal is not to make money.

Your first goal is to learn how not to lose money unnecessarily.



Nine reminders worth keeping in mind before you place your first trade.

PAGE 3 — WHAT IS TRADING?

Trading Explained Simply

Trading means buying and selling financial instruments with the objective of benefiting from price movements.

For a beginner, the easiest place to start understanding is equity/cash-market trading.

Simple Example

Suppose a stock is trading at ₹100. You study the chart and decide to buy 10 shares.

Investment: $10 \times ₹100 = ₹1,000$

If the price moves to ₹110: Profit = ₹100 (before applicable charges and taxes).

But if the price falls to ₹95: Loss = ₹50.

*This is why trading is about both:
Profit Management + Loss Management*

PAGE 4 — TRADING VS INVESTING

Know the Difference

Investing — Usually focuses on owning an asset for a longer period based on a company's/business fundamentals and long-term prospects.

Trading — Usually focuses more on shorter-term price movements and predefined entry/exit plans.

Common Trading Styles

Style	Typical Holding
Scalping	Minutes
Intraday	Same trading day
Swing Trading	Days to weeks
Position Trading	Weeks to months

Beginner Focus

For learning purposes, this book focuses primarily on:

SWING TRADING

Because it gives a beginner more time to analyze a setup rather than constantly making decisions during the trading session.

PAGE 5 — HOW THE STOCK MARKET WORKS

Basic Market Structure

A simplified trading process looks like this:

Company → Stock Exchange → Broker → Trader

In India, major stock exchanges include: NSE, BSE.

A broker provides the platform through which an investor/trader can place orders.

You Should Understand

- Trading account
- Demat account
- Broker
- Stock exchange
- Market price
- Bid & Ask
- Order types
- Brokerage and other applicable charges

*Don't trade simply because someone sends you a stock name.
Understand what you are buying and why.*

PAGE 6 — BASIC ORDER TYPES

Learn These Before Your First Trade

- 1. Market Order** — You place an order to buy/sell at the available market price.
- 2. Limit Order** — You specify the price at which you want to buy or sell.
- 3. Stop-Loss Order** — Used to control potential loss if the trade moves against you.
- 4. Target / Exit Order** — Used to close a position when your planned objective is reached.

Example

Entry: ₹100

Stop-loss: ₹96

Target: ₹108

Your plan is created before entering the trade.

Learn to Read Price

A candlestick shows price movement during a particular period. Each candle can show: Open, High, Low, Close.

Bullish Candle — The closing price is above the opening price.

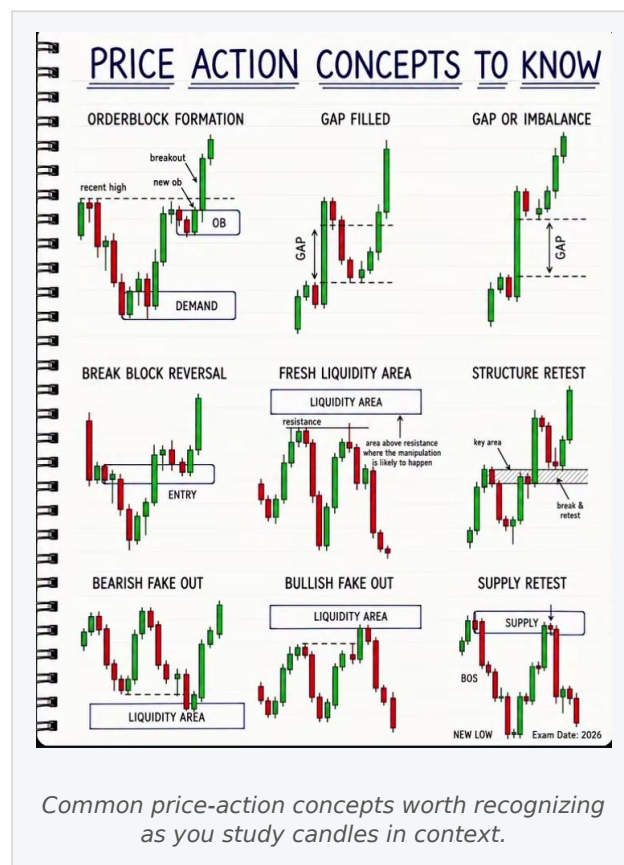
Bearish Candle — The closing price is below the opening price.

Why Candles Matter

A single candle does not automatically tell you whether to buy or sell. Look for:

Candle + Trend + Support/Resistance + Volume + Setup

The goal is to understand the context rather than reacting to one candle.



Understand Direction

Markets can broadly move in three ways:

Uptrend — Higher Highs + Higher Lows

Downtrend — Lower Highs + Lower Lows

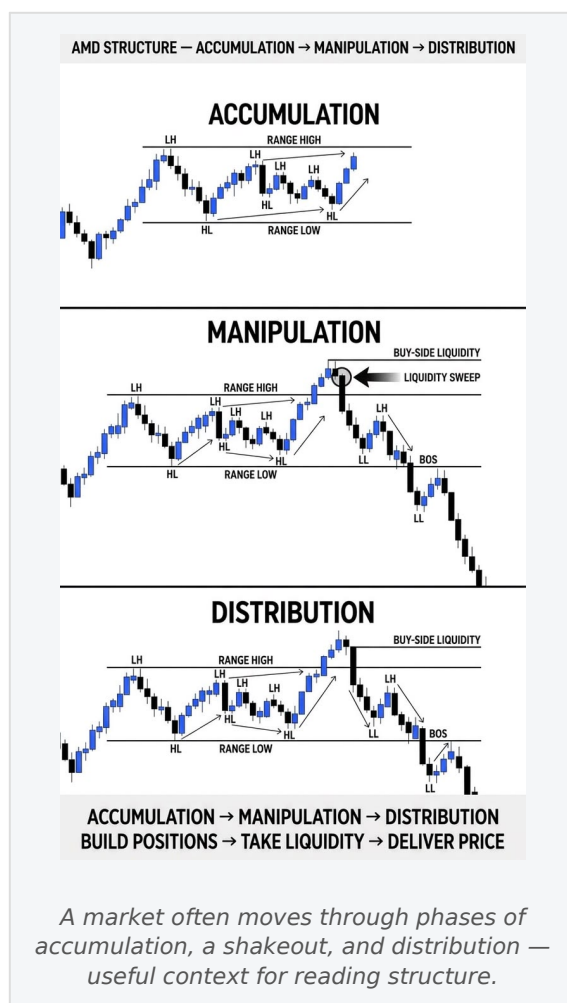
Sideways — Price moves within a relatively defined range.

Beginner Rule

Before taking a trade, ask:

- What is the current trend?
- Where is the important support?
- Where is the resistance?
- Is the price moving with volume?
- Where will my trade idea become invalid?

Never enter simply because a stock is going up.



Important Price Zones

Support — An area where buying interest has previously appeared and price has reacted upward.

Resistance — An area where selling pressure has previously appeared and price has struggled to move higher.

Think of them as zones, not perfectly precise lines.

Example

Stock: ₹100 → ₹110 → ₹100 → ₹109 → ₹101

The ₹100 area may be important support. The ₹109-₹110 area may be important resistance.

Your Task

Open historical charts and identify:

3 Support Zones + 3 Resistance Zones

Do this repeatedly until identifying them becomes easier.

PAGE 10 — VOLUME

Don't Ignore Volume

Volume represents trading activity during a particular period. It can help you understand whether a price movement is accompanied by relatively strong or weak participation.

Example

If a stock breaks above an important resistance area with noticeably higher volume than recent sessions, traders may investigate whether the breakout has stronger participation.

But: high volume does not guarantee a successful trade.

Always combine volume with:

Price structure + Trend + Support/Resistance + Risk management

PAGE 11 — THE BEGINNER SWING SETUP

A Simple Framework

Instead of searching for random stocks, create a repeatable process.

5-Step Setup

- 1. Identify Trend** — Look for a clear structure.
- 2. Find Important Zone** — Support/resistance or a relevant consolidation area.
- 3. Wait for Confirmation** — Don't rush because the price is moving.
- 4. Define Entry** — Know exactly what condition triggers your trade.
- 5. Define SL & Target** — Know the risk before entering.

Setup → Confirmation → Entry → Stop-Loss → Target → Review



PAGE 12 — ENTRY PLANNING

Never Enter Without a Plan

Before every trade, write:

Stock: _____

Current Price: ₹ _____

Entry: ₹ _____

Stop-Loss: ₹ _____

Target: ₹ _____

Reason for Trade: _____

Setup: ☐ Breakout ☐ Pullback ☐ Support reaction ☐ Other

Trade Invalid If: _____

If you cannot explain why you are entering, don't rush into the trade.

— DEFINE YOUR — ENTRY & EXIT RULES

TRADE WITH A PLAN, NOT EMOTIONS

↑ ENTRY RULES

LOOK FOR CONFIRMATION

1 TREND CONTINUATION

Enter in the direction of the trend.



2 KEY SUPPORT / RESISTANCE

Enter when price reacts at a key level.



3 BREAKOUT

Enter after price breaks a resistance level.



↓ EXIT RULES

LOCK PROFITS, LIMIT LOSSES

1 STOP-LOSS

Exit if price moves against your position.



2 TAKE PROFIT

Exit at your target level or when momentum fades.



3 TRAILING STOP

Move your stop as price moves in your favor.



Defining clear entry and exit rules — trend continuation, key levels and breakouts for entries; stop-loss, targets and trailing stops for exits.

Your Safety Mechanism

A stop-loss helps define the point where your original trade idea is no longer valid.

Example

Entry = ₹100, Stop-loss = ₹96

Risk per share: ₹100 – ₹96 = ₹4

If you buy 10 shares, potential planned loss: ₹4 × 10 = ₹40

This calculation should happen before entering.

Never Move Your Stop-Loss Simply Because

“Maybe price will come back.”

A trade plan should be based on predefined conditions, not hope.

One of the Most Important Skills

Position sizing determines how many shares you should trade.

$$\text{Quantity} = \text{Maximum Rupee Risk} \div \text{Risk Per Share}$$

Example

Trading capital = ₹50,000. Suppose your maximum planned risk on one trade is ₹500.

Entry = ₹100

Stop-loss = ₹95

Risk per share = ₹5

Therefore: ₹500 ÷ ₹5 = 100 shares

Position value: 100 × ₹100 = ₹10,000

This is only an educational example.

Your actual risk limit should depend on your financial situation and overall plan.

Think Beyond “How Much Can I Make?”

Suppose: Entry = ₹100, Stop-loss = ₹95, Target = ₹110

Risk = ₹5, Potential reward = ₹10

$$\text{Risk : Reward} = 1 : 2$$

This means you are planning ₹1 of risk for every ₹2 of potential reward.

But remember:

A 1:2 risk-reward ratio does not guarantee a profitable trade.

You still need a valid setup and disciplined execution.

Don't Track 100 Stocks

Start with a manageable watchlist.

Watchlist Checklist

- ☐ Reasonable liquidity
- ☐ Clear price structure
- ☐ Understandable trend
- ☐ Important support/resistance

- ☐ Suitable volatility
- ☐ A setup you can clearly explain

Daily Routine

Review your watchlist → Mark important levels → Identify possible setups → Write potential entry/SL/target → Wait for confirmation

You don't need to trade every day.

NO SETUP = NO TRADE.

Your Personal Trading Database

After every trade, record:

Date: _____

Stock: _____

Entry: _____

Stop-Loss: _____

Target: _____

Exit: _____

Result: _____

Setup: _____

Mistake: _____

Lesson: _____

Weekly Review

- Did I follow my plan?
- Did I enter too early?
- Did I move my stop?
- Did I overtrade?
- Did I follow position sizing?
- What mistake happened repeatedly?

Your journal should teach you more than random social-media signals.

Your First 30 Days

Days 1-7: Learn market basics, candlesticks, trend, support/resistance, volume, order types. No real-money trading required.

Days 8-14: Study historical charts. Find 10 trends, 10 support zones, 10 resistance zones, 10 possible setups.

Days 15-21: Start paper trading. Record Entry → SL → Target → Result.

Days 22-30: Review your trades. Calculate winning trades, losing trades, average gain, average loss, rule violations.

Goal: Build a process, not a profit target.

Fill This Before Trading

My Trading Style: Swing Trading

My Primary Timeframe: _____

My Setup: _____

My Entry Rule: _____

My Stop-Loss Rule: _____

My Position-Sizing Rule: _____

My Maximum Planned Risk Per Trade: ₹ _____

Maximum Trades Per Week: _____

I Will NOT Trade When: _____

*My Biggest Rule:
Protect capital. Follow the plan. Review every trade.*

From Beginner → Disciplined Trader

Your journey should look like this:

Step 1 — Learn: Understand the market.

Step 2 — Observe: Study charts without rushing into trades.

Step 3 — Practice: Use historical analysis and paper trading.

Step 4 — Build a System: Create entry, stop-loss, position-sizing and exit rules.

Step 5 — Journal: Record every trade and mistake.

Step 6 — Review: Find patterns in your own decisions.

Step 7 — Scale Carefully: Only consider increasing exposure after you have demonstrated consistent process and understand the risks.



FINAL MESSAGE

TRADING IS NOT ABOUT FINDING A MAGICAL STOCK.

It is about building a repeatable decision-making process.

Learn → Plan → Execute → Record → Review → Improve

"Don't chase guaranteed ₹50,000/month.

Build the knowledge and discipline required to make responsible trading decisions first."

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Learn. Build. Execute.

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